CASCADIA ANALYTICS

# Amkor Technology, Inc.

Equity Research Note | AMKR | 21 OCTOBER 2026

## Recovery With Teeth

Amkor Technology screens as a Buy with a $49.55 blended target, 19% above the current price.

**Analyst: Justin Wen**

| REFERENCE PRICE | BLENDED TARGET | BLENDED UPSIDE | |
|---|---|---|---|
| $41.70 | $49.55 | +19% | BUY |

### Investment Thesis

Recovery With Teeth. Revenue troughed at $6.32B in FY2024 and is running at $7.46B TTM. Three straight earnings beats, with Q2 EPS up 218% YoY to $0.70 vs $0.47 consensus [8-K]. AI Packaging Lever. The largest US-headquartered OSAT, with advanced packaging, wafer-level processing and SiP exposure to AI accelerator demand [8-K]. Pessimism Priced In. At $41.70, the reverse DCF implies just 1.9% 5-year growth, below our 4% bear case. DCF base $49.13 is +18% upside; analyst targets average $68.33 (+63%) [DCF sheet,

- Recovery With Teeth
- AI Packaging Lever
- Pessimism Priced In

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## The latest print

**AI Packaging Lever.** The largest US-headquartered OSAT, with advanced packaging, wafer-level processing and SiP exposure to AI accelerator demand.

**Pessimism Priced In.** At $41.70, the reverse DCF implies just 1.9% 5-year growth, below our 4% bear case. DCF base $49.13 is +18% upside; analyst targets average $68.33 (+63%).

| $1.90B | $0.70 | $0.72-0.82 | 9.15% | 16.8% | $2.60 |
|---|---|---|---|---|---|
| REVENUE (Q2 FY26) | EPS (Q2 FY26) | Q3 FY26 EPS GUIDE | NET MARGIN (Q2 FY26) | GROSS MARGIN (Q2 FY26) | FY2026 CONSENSUS EPS |

## Key metrics in detail

| METRIC | LATEST | VS YEAR AGO | TREND |
|---|---|---|---|
| **Revenue (Q2 FY26)** | $1.90B | +25.6% | Up |
| **EPS (Q2 FY26)** | $0.70 | +218% YoY | Up |
| **Q3 FY26 EPS Guide** | $0.72-0.82 | +55% YoY | Flat |
| **Net Margin (Q2 FY26)** | 9.15% | +5.6 pts | Up |
| **Gross Margin (Q2 FY26)** | 16.8% | +4.8 pts | Up |
| **FY2026 Consensus EPS** | $2.60 | +73% | Up |
| **Dividend** | $0.0835/qtr (0.76% yield) | 14.8% payout | Flat |
| **Debt-to-Equity (FY25)** | 0.28 | Down from 0.39 | Flat |

## The moat

Q2 revenue $1.90B (+25.6% YoY), EPS $0.70 vs $0.47 consensus, the third straight big beat

## The growth engine

Q3 EPS guide $0.72-0.82; consensus FY EPS of $2.60 implies +73% growth

## Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

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Amkor Technology, Inc. valuation framework

| SCENARIO | WEIGHT | 2026-30 CAGR | 2030 REVENUE | 2030 EBIT MARGIN | TARGET | UPSIDE |
|---|---|---|---|---|---|---|
| **Bear** | 25% | 4.0% | $9.01B | 40.1% | **$26.37** | -37% |
| **Base** | 50% | 10.0% | $11.27B | 43.8% | **$49.13** | +18% |
| **Bull** | 25% | 16.0% | $13.94B | 46.3% | **$73.58** | +76% |

**Bear:** downside case at $26.37 (-37%).

**Base:** central case at $49.13 (+18%).

**Bull:** upside case at $73.58 (+76%).

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# The probability-blended target implies 19% upside

A 25% Bear / 50% Base / 25% Bull weighting implies +19% from the $41.70 reference price.

**$49.55**
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

| | |
|---|---|
| Revenue base (2025E) | **$7.70B** |
| Valuation horizon | **2026-2030** |
| Live WACC | **8.75%** |
| Terminal growth | **2.0%** |
| Net cash | **$0.0M** |
| 2030 FCF (Base) | **$1.01B** |
| 10-year Treasury yield | **5.1%** |
| Beta | **1.30** |
| Equity risk premium | **3.4%** |

**BUY | $49.55 BLENDED TARGET | WEN**

## The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 2.9%. below Bear case (4%) — pessimistic

## Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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| CAGR | Implied EV | Implied price | CAGR | Implied EV | Implied price | CAGR | Implied EV | Implied price |
|---|---|---|---|---|---|---|---|---|
| +0% | $9.7B | $38.99 | +20% | $19.1B | $76.39 | +40% | $34.2B | $136.79 |
| +1% | $10.1B | $40.43 | +21% | $19.7B | $78.81 | +41% | $35.1B | $140.55 |
| +2% | $10.5B | $41.90 | +22% | $20.3B | $81.28 | +42% | $36.1B | $144.39 |
| **+3%** | **$10.9B** | **$43.42** | +23% | $21.0B | $83.80 | +43% | $37.1B | $148.31 |
| +4% | $11.2B | $44.98 | +24% | $21.6B | $86.39 | +44% | $38.1B | $152.31 |
| +5% | $11.6B | $46.58 | +25% | $22.3B | $89.04 | +45% | $39.1B | $156.40 |
| +6% | $12.1B | $48.23 | +26% | $22.9B | $91.75 | +46% | $40.1B | $160.56 |
| +7% | $12.5B | $49.92 | +27% | $23.6B | $94.53 | +47% | $41.2B | $164.81 |
| +8% | $12.9B | $51.66 | +28% | $24.3B | $97.37 | +48% | $42.3B | $169.15 |
| +9% | $13.4B | $53.44 | +29% | $25.1B | $100.27 | +49% | $43.4B | $173.57 |
| +10% | $13.8B | $55.28 | +30% | $25.8B | $103.24 | +50% | $44.5B | $178.08 |
| +11% | $14.3B | $57.16 | +31% | $26.6B | $106.28 | +51% | $45.7B | $182.68 |
| +12% | $14.8B | $59.09 | +32% | $27.3B | $109.38 | +52% | $46.8B | $187.37 |
| +13% | $15.3B | $61.06 | +33% | $28.1B | $112.55 | +53% | $48.0B | $192.14 |
| +14% | $15.8B | $63.09 | +34% | $28.9B | $115.80 | +54% | $49.3B | $197.02 |
| +15% | $16.3B | $65.18 | +35% | $29.8B | $119.11 | +55% | $50.5B | $201.98 |
| +16% | $16.8B | $67.31 | +36% | $30.6B | $122.50 | +56% | $51.8B | $207.04 |
| +17% | $17.4B | $69.50 | +37% | $31.5B | $125.96 | +57% | $53.0B | $212.19 |
| +18% | $17.9B | $71.74 | +38% | $32.4B | $129.49 | +58% | $54.4B | $217.44 |
| +19% | $18.5B | $74.04 | +39% | $33.3B | $133.10 | | | |

## Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

| SCENARIO | ENTERPRISE VALUE | EXIT EV/ FCF | TERMINAL GROWTH | PLUS: NET CASH | EQUITY VALUE | TARGET |
|---|---|---|---|---|---|---|
| **Bear** | $6.59B | — | 2.0% | $0.0M | $6.59B | **$26.37** |
| **Base** | $12.28B | — | 2.0% | $0.0M | $12.28B | **$49.13** |
| **Bull** | $18.39B | — | 2.0% | $0.0M | $18.39B | **$73.58** |

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## Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

| SCENARIO | 2026 | 2026 | 2027 | 2028 | 2029 | 2030 |
|---|---|---|---|---|---|---|
| **Bear** | $26.37 | $28.68 | $31.20 | $33.40 | $35.24 | $36.64 |
| **Base** | $49.13 | $53.43 | $58.12 | $62.28 | $65.72 | $68.34 |
| **Bull** | $73.58 | $80.02 | $87.03 | $93.48 | $98.94 | $103.15 |

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $49.55 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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# The franchise deep dive

Q2 revenue $1.90B (+25.6% YoY), EPS $0.70 vs $0.47 consensus, the third straight big beat

Q3 EPS guide $0.72-0.82; consensus FY EPS of $2.60 implies +73% growth

Largest US-headquartered OSAT riding AI advanced-packaging demand

## Revenue and margin trend

| METRIC | Q2 '25 | Q3 '25 | Q4 '25 | Q1 '26 | Q2 '26 |
|---|---|---|---|---|---|
| **Revenue** | $1.51B | $1.99B | $1.89B | $1.68B | $1.90B |
| **Gross Margin** | 12.0% | 14.3% | 16.7% | 14.2% | 16.8% |
| **Net Margin** | 3.6% | 6.4% | 9.1% | 5.0% | 9.2% |

## Valuation cross-check

Fwd P/E (NTM) 14.9x

DCF Base $49.13 vs $41.70 spot = +18% upside

Implied 5-yr revenue CAGR 1.9%, below bear case 4%

The market prices near-stagnation while even the bear case needs only 4% growth. Absolute valuation is reasonable with a modest margin of safety.

AI semi peers 25-45x fwd P/E

AMKR 14.9x, PEG 0.76

Trades at a deep discount to chip designers on forward earnings, fair for a capital-intensive OSAT but cheap given the recovery trajectory.

52-wk range $29.50-96.68

Current $41.70, -57% below the high

De-rated sharply from the spring high after profit-taking; now trading in the lower half of its one-year range despite improving fundamentals.

## What to monitor

**Oct 26, 2026.** Q3 FY26 Earnings (Two-Sided): Consensus $0.79 EPS (+55% YoY), $2.02B revenue. Note: the last two beats were followed by -5.6% and -24.7% one-day reactions.

**2026-2027.** AI Advanced Packaging Demand (Positive): 2.5D, wafer-level and SiP exposure to AI accelerator demand; US-headquartered OSAT advantage.

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**Quarterly.** Dividend (Positive): $0.0835 per quarter, 0.76% yield, 14.8% payout ratio. Modest but durable through the cycle.

## Financial summary: income statement

| YEAR | REVENUE | GROSS PROFIT | OPERATING INCOME | EBITDA |
|---|---|---|---|---|
| **2021** | $6.1B | $1.2B | $763M | — |
| **2022** | $7.1B | $1.3B | $897M | $1.5B |
| **2023** | $6.5B | $943M | $470M | $1.1B |
| **2024** | $6.3B | $933M | $438M | $1.1B |
| **2025** | $6.7B | $939M | $467M | $1.2B |

## Balance sheet

| YEAR | TOTAL ASSETS | TOTAL LIABILITIES | TOTAL EQUITY | CASH |
|---|---|---|---|---|
| **2022** | — | $3.1B | $3.7B | $959M |
| **2023** | — | $2.8B | $4.0B | $1.1B |
| **2024** | — | $2.8B | $4.1B | $1.1B |
| **2025** | — | $3.6B | $4.5B | $1.4B |

## Cash flow

| YEAR | OPERATING CF | CAPEX | FINANCING CF | FREE CF |
|---|---|---|---|---|
| **2021** | $1.1B | $780M | $-30M | $1.9B |
| **2022** | $1.1B | $-908M | $56M | $190M |
| **2023** | $1.3B | $-749M | $-149M | $521M |
| **2024** | $1.1B | $-744M | $-260M | $345M |
| **2025** | $1.1B | $-905M | $99M | $191M |

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# Agency risk score 84 of 100: founder-mode alignment, high conviction

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 49.91% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $12.93M of sales, a net flow of -$12.93M. One-year total shareholder return is +35.5% against CEO total pay of $1.12M (Mr. Kevin K. Engel), which the model scores as EXEMPLARY ALIGNMENT.

**84**

AGENCY RISK SCORE, OF 100

## The three components

| COMPONENT | SCORE | WHAT THE SITE SHOWS |
|---|---|---|
| **Insider Ownership (Skin in the Game)** | 40 / 40 | 49.91% of shares held by insiders |
| **Form 4 Flow (Conviction Flow)** | 14 / 30 | Buys $0 (0) vs sales $12.93M (20), net -$12.93M, trailing six months |
| **Pay-for-Performance** | 30 / 30 | EXEMPLARY ALIGNMENT: Founder Mode / Low Base Draw. 1Y TSR +35.5%; Mr. Kevin K. Engel, CEO, President & Director, total pay $1.12M |
| **Agency Risk Score** | **84 / 100** | Regime: FOUNDER-MODE // HIGH CONVICTION |

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## Recent Form 4 filings

| DATE | FILER | RELATION | TYPE | SHARES | VALUE |
|---|---|---|---|---|---|
| **2026-10-13** | Faust Megan | Chief Financial Officer | SELL | 1,000 | $46.9K |
| **2026-10-02** | Alexander Douglas A | Director | SELL | 5,000 | $275.0K |
| **2026-09-08** | Faust Megan | Chief Financial Officer | SELL | 1,000 | $49.0K |
| **2026-08-17** | Rogers Mark N. | General Counsel | SELL | 5,000 | $298.9K |
| **2026-08-11** | Faust Megan | Chief Financial Officer | SELL | 1,000 | $54.5K |
| **2026-08-07** | Alexander Douglas A | Director | SELL | 5,000 | $279.1K |
| **2026-08-06** | Rutten Guillaume Marie Jean | Director | SELL | 50,000 | $2.75M |
| **2026-07-30** | Engel Kevin K | Officer and Director | SELL | 3,221 | $151.4K |

## SEC proxy audit, DEF 14A filed 2026-04-02

**Alignment grade C.** CEO TRANSITION DATA OMITTED. Giel Rutten, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

| BASE SALARY | STOCK AWARDS | NON-EQUITY INCENTIVE | OTHER COMPENSATION |
|---|---|---|---|
| **N/A** | N/A | N/A | N/A |

The excerpt reflects a planned leadership transition from long-tenured CEO Giel Rutten to COO Kevin K. Engel effective January 2026. However, the provided filing excerpt excludes the Compensation Discussion and Analysis and Summary Compensation Table located on pages 27 through 60. As a result, specific executive compensation figures, annual bonus targets, and TSR alignment metrics cannot be determined from this text.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/1047127/000119312526140275/d943236ddef14a.htm

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Amkor Technology, Inc. valuation framework

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 21 October 2026 for this note.

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## The bear case

### Beat-and-Drop Pattern

The stock fell 24.7% the day after the Q2 beat and 5.6% after Q1's. Expectations and positioning matter more than the print itself.

### Cyclical, Capital-Intensive

OSAT is a low-margin toll road with heavy capex requirements. A smartphone or memory downturn would hit utilization and margins hard.

### Customer Mix

Revenue concentrates in mobile and consumer end markets. AI packaging is growing but not yet large enough to carry a down cycle.

## The strengths

### Operating Quality

Scale leader among OSATs with a solid balance sheet (D/E 0.28, current ratio ~2.1) and a dividend. But it is a capital-intensive, cyclical toll road: 15.5% gross and 10.5% operating margins cap structural quality.

### Recent Trend

Revenue bottomed at $6.32B in FY2024, now running at $7.46B TTM with +25.6% growth in Q2. Three straight earnings beats; net margins expanded from 3.6% to 9.15% YoY. The -38% six-month stock slide is the tempering factor.

### Forward Growth

Q3 guide of $0.72-0.82 EPS and consensus FY EPS of $2.60 (+73%) confirm the recovery. AI advanced packaging and US onshore capacity are real levers, though OSAT growth stays cyclical and capex-heavy.

### Valuation

DCF base $49.13 implies ~18% upside from $41.70; even the bear-case implied CAGR of 4% sits above the market's pessimistic 1.9%. Forward P/E of 14.9x and EV/revenue of 1.6x are cheap vs AI semi peers.

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## Cascadia scorecard

**Composite score 67: Attractive.** Confidence High, as of 17-Oct-2026.

| PILLAR | RATIONALE | SCORE |
|---|---|---|
| **Operating Quality** | Scale leader among OSATs with a solid balance sheet (D/E 0.28, current ratio ~2.1) and a dividend. But it is a capital-intensive, cyclical toll road: 15.5% gross and 10.5% operating margins cap structural quality. | 62 |
| **Recent Trend** | Revenue bottomed at $6.32B in FY2024, now running at $7.46B TTM with +25.6% growth in Q2. Three straight earnings beats; net margins expanded from 3.6% to 9.15% YoY. The -38% six-month stock slide is the tempering factor. | 72 |
| **Forward Growth** | Q3 guide of $0.72-0.82 EPS and consensus FY EPS of $2.60 (+73%) confirm the recovery. AI advanced packaging and US onshore capacity are real levers, though OSAT growth stays cyclical and capex-heavy. | 68 |
| **Valuation** | DCF base $49.13 implies ~18% upside from $41.70; even the bear-case implied CAGR of 4% sits above the market's pessimistic 1.9%. Forward P/E of 14.9x and EV/revenue of 1.6x are cheap vs AI semi peers. | 68 |
| **Catalysts & Risk** | Q3 earnings on Oct 26 with $0.79 consensus (+55% YoY) is the near-term catalyst; analyst targets average $68.33 (+63%). But the post-beat selloffs, cyclicality and heavy capex keep the skew balanced rather than bullish. | 62 |

## Investment view

A Q3 beat with raised Q4 guidance would validate the +73% FY EPS consensus and likely close the gap to the $68.33 analyst target; a guide-down or another post-beat selloff would cut Trend and confirm the multiple compression.

**Investment view: Buy. The $49.55 blended target implies +19%, balancing the $26.37 / $49.13 / $73.58 Bear / Base / Bull outcomes.**

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